



Learning Space

IAS MAINS 2020

ETHICS, INTEGRITY & APTITUDE

CASE STUDIES

MODULE - 4

CASE STUDY - 4

You were posted as Commissioner for Indirect Taxes & Customs to a region known for its flourishing and vibrant MSME ecosystem, with most of the enterprises being Micro Enterprises. Suddenly, news reports emerge indicating high stress in Micro Enterprises and consequential toll on the workforce dependent on them. You were directed to visit the area and file an extensive on-ground report on the downturn in the fortunes of the Micro Enterprises. The following facts emerged during your study of the crisis.

1. The area is home to two major steel companies, and the Micro Enterprises flourished as ancillary industries.
2. With the introduction of GST, the large steel industries stopped purchasing inputs from the Micro Enterprises, as they could not claim and receive Input Tax Credit.
3. Some of the Micro Enterprises, though they are not required to register for GST, boarded the GST architecture. But, they could not sustain recurring costs associated with compliance mechanism of GST regime.
4. Either way Micro Enterprises were adversely affected, resulting in huge stress and consequential suicides by some of the workers affected by the turn of the events.

What immediate steps would you take to ameliorate the resultant human suffering? What long-term measures would you suggest to the Government? (250 Words)

CASE STUDIES

This case narrates the difficulties faced by micro Enterprises after the introduction of GST.

ETHICAL ISSUES INVOLVED

1

Following government's GST rules as an administrator.

VS

Stopping suicides because of stress resulting from introducing GST.

2

Policy making to streamline the economy.

VS

Policies adversely affecting backward sections of society.

CASE STUDIES

As a commissioner for indirect taxes and customs, I take the following steps:

STEPS

1

Inform and assure all micro enterprises in the region that their problems are taken note of and all their grievances will be addressed at the earliest.

2

Send the report with startling facts immediately to the ministry level.

3

Talk with the concerned District Magistrate regarding the issue and make the following recommendations:

➤ **For micro enterprises that boarded GST**

- Means to provide immediate credit to meet the working capital requirement.

➤ **For micro enterprises that didn't board GST**

- Include them immediately under government e-marketplace scheme (GeM) where government departments procure goods and services from these enterprises.
- Provide training in provision of these services and other e-governance services.

➤ **Long term measures suggested to the government:**

- Amend GST to reduce compliance and tax costs for micro enterprises.
- Establish formal institutional system for thrift credit to micro enterprises.
- Sector specific compliance measures and GST requirements to address specific sectoral concerns like for textile, leather industries etc.
- Enable minimum income support for these enterprises in line with PM KISAN for farmers.

WAY AHEAD

Micro enterprises form major portion of livelihoods in Indian manufacturing economy. Their problems should be of main priority in any policy making that affects these enterprises.

WE EXPRESS OUR
SINCERE THANKS
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